



Greystone Capital Group

The Legacy Apartment March Update

The Legacy Apartment

Property Type:
31-Unit
Multifamily

Property Class:
B

Date Acquired:
11/14/2025

Purchase Price:
\$2,000,000

Loan Amount:
\$1,300,000

Loan Type:
Agency 5-year
fixed rate. 6.03%

Operations Overview

- We ended March with occupancy at 87%, and are off to a great start with Touchstone Property Management.
- Touchstone has already hit the ground running - refreshing landscaping, restoring the laundry machines, working with residents on collecting delinquent balances, and systematically addressing make-ready units and renovations that were left incomplete by our prior management company.
- Most leads still originate from Facebook Marketplace and drive-by traffic.

Financial Overview

- March financials are not yet available, as they are currently being finalized by our former property management company, who have been difficult to work with during the management transition.
- That said, it is very likely that the next financials we see will be for April, when Touchstone has a chance to complete them for their first month of management. Thanks for your understanding.



Renovation and Capital Items Overview

- No major items noted for March.
- Once Touchstone has a few more weeks of management under their belt, we will revisit the plan for obtaining quotes to convert the leasing office into a rentable studio apartment.

- Job Growth: DFW employers added approximately 44,000 net jobs year-over-year, led by education, health services, and government sectors.
- Unemployment Rate: 4.4%, slightly above the national average.
- Construction Activity: Multifamily development is slowing to a 10-year low, with new deliveries expected to decline roughly 62% in 2026, and units underway at the lowest level since 2015.
- Multifamily Vacancy: ~12.0% in Q4 2025, though vacancies are expected to gradually tighten toward 10% as supply slows and the market moves toward equilibrium.
- Rent Trends: Average asking rents in DFW dipped 0.4% through September 2025, with stabilized occupancy edging up to 93.1%. Rents, slightly negative year-over-year in Q4, are expected to rebound and support modest growth in 2026.
- Market Outlook: DFW population growth will rank among the nation's 10 fastest in 2026, with mid-tier properties like Class B well-positioned as apartment deliveries are set to be less than half of 2025 levels.



- The U.S. multifamily market finished 2025 with growing optimism, as investment volume accelerated to a three-year high, bolstered by greater interest rate clarity.
- Annual supply declined approximately 25% in 2025 to roughly 523,000 units and is forecast to contract by an additional 36% in 2026 - the lowest annual delivery total since 2014.
- 519,000 apartments were absorbed in 2025, marking the third-best showing of the past decade.
- National average asking rents rebounded at the start of 2026, increasing to \$1,741, ending a five-consecutive-month streak of rate decreases.
- After a flat 2024-2025 rent environment, pricing power is projected to return in 2026, with rent growth moving toward 2.0% on a yearly basis.
- Barriers to homeownership continue to support multifamily demand, with a 105% monthly premium to buy vs. rent and an estimated shortage of 3.4 million single-family homes keeping renters in the market.

